

MODULE 1

INTRODUCTION

Introduction HRM: Introduction, meaning, nature, scope of HRM, Importance and Evolution of the concept of HRM, Major functions of HRM, Principles of HRM. Human Resource Management and Personnel Management, Models of Human Resource Management, HRM in India, The Factors Influencing Human Resource Management, The HR Competencies, Human Resource Management and Firm Performance.

HUMAN RESOURCES

- In organizational context, the personnel involved in different activities of an organization are the human resources of that organization.
- Such type of personnel (referred as human resources) have one thing common i.e. fulfillment of their assigned duties & responsibilities in order to achieve the organizational goal and objectives.
- People become human resource when they involved in any organization with physical strength, energy and competencies. Competencies consists of knowledge, skill, attitudes and potential for growth.
- Human resources are effectively mobilized by the organization for the achievement of desired results.

HUMAN RESOURCE MANAGEMENT

Human Resource Management (HRM) is one of the greatest important sources in the field of productivity. —Development of any sector mainly depends upon proper utilization of human resources. HRM is useful to achieve long-range objectives and for solving problems. This statement can be corroborated by tracing the evolution and growth in prestige of finance, production, engineering, sales, research, and other management functions.

DEFINITION:

1. According to **Edwin B. Flippo** – “Human resource management is concerned with policies and practices that ensure the best use of the human resources for fulfilling the organizational and individual goals.”
2. According to **French Wendell** – “Human Resource Management is the recruitment, selection, development, utilisation of and accommodation to human resources by organisations.”

3. According to **Gary Dessler** – “Human Resource Management is the process of acquiring, training, appraising, and compensating employees, and attending to their labour relations, health, safety and fairness concerns.”

OBJECTIVES OF HRM

The **principal objectives** of HRM may be listed thus:

- To help the organization reach its goals
- To employ the skills and abilities of the workforce efficiently
- To provide the organization with well-trained and well-motivated employees
- To increase to the fullest the employee's job satisfaction and self-actualization
- To develop and maintain a quality of work life
- To communicate HR policies to all employees
- To be ethically and socially responsive to the needs of society.

The primary objective of HRM is to ensure the availability of a competent and willing work force to an organization. Beyond this there are other objectives, too. Specifically, HRM objectives are four folds- societal, organizational, functional, and personal.

- **Societal Objectives:** To be ethically and socially responsible to the needs and challenges of the while minimizing the negative impact of such demands upon the organization. The failure of organizations to use their resources for the society's benefit in ethical ways may lead to restrictions.
- **Organizational objectives:** To recognize the role of HRM in bringing about organizational effectiveness. HRM is not an end in itself. It is only a means to assist the organization with its primary objectives. Simply stated, the department exists to serve the rest the organization.
- **Functional Objectives:** To maintain the department's contribution at a level appropriate to the organization's needs. Resources are wasted when HRM is either more or less sophisticated to suit the organization's demand. The department's level of service must be tailored to fit the organization it serves.
- **Personal objectives:** To assist employee in achieving their personal goals, at least insofar as these goals enhance the individual's contribution to the organization. Personal objectives of employees must be met if workers are to be maintained, retained and motivated. Otherwise, employee performance and satisfaction may decline and employees may leave the organization.

IMPORTANCE OF HRM

People have always been central organizations, but their strategic importance is growing in today's knowledge-based industries. —An organization's success increasingly depends on the knowledge, skills and abilities (KSAs) of employees, particularly as they help establish a set of core competencies that distinguish an organization from its competitors. With

appropriate HR policies and practices an organization can hire, develop and utilize best brains in the marketplace, realize its professed goals and deliver results better than others.

Human Resource Management helps an organization and its people to realize their respective goals. Thus:

1. At the enterprise level:

- a. Good human resource practices can help in attracting and retaining the best people in the organization. Planning alerts the company to them. Types of people will need in the short, medium and long run.
- b. It helps in training people for challenging roles, developing right attitudes towards the job and the company, promoting team spirit among employees and developing loyalty and commitment through appropriate reward schemes.

2. At the individual level: Effective management of human resources help employees thus:

- a. It promotes team work and team spirit among employees.
- b. It offers excellent growth opportunities to people who have the potential to rise.
- c. Employment opportunities multiply.

3. At the society level: Society, as a whole, is the major beneficiary of good human resource practices.

- a. Employment opportunities multiply.
- b. Scarce talents are put to best use. Companies that pay and treat people well always race ahead of others and deliver excellent results.

4. At the national level: Effective use of human resources helps in exploitation of natural, physical and financial resources in a better way. People with right skills, proper attitudes and appropriate values help the nation to get ahead and compete with the best in the world leading to better standard of living and better employment.

Other importance of HRM are:

- To maintain quality of work life
- To increase productivity and profit
- To produce employees who are easily adaptable to change
- To match demand and supply of human resource
- To retain employees & motivate them to accomplish company's goal
- To recognize merit and contribution of employee
- To create a feeling of belongingness and team spirit in the employee
- To resolve conflicts

PERSONNEL MANAGEMENT

Personnel management can be defined as obtaining, using and maintaining a satisfied workforce. It is a significant part of management concerned with employees at work and with their relationship within the organization.

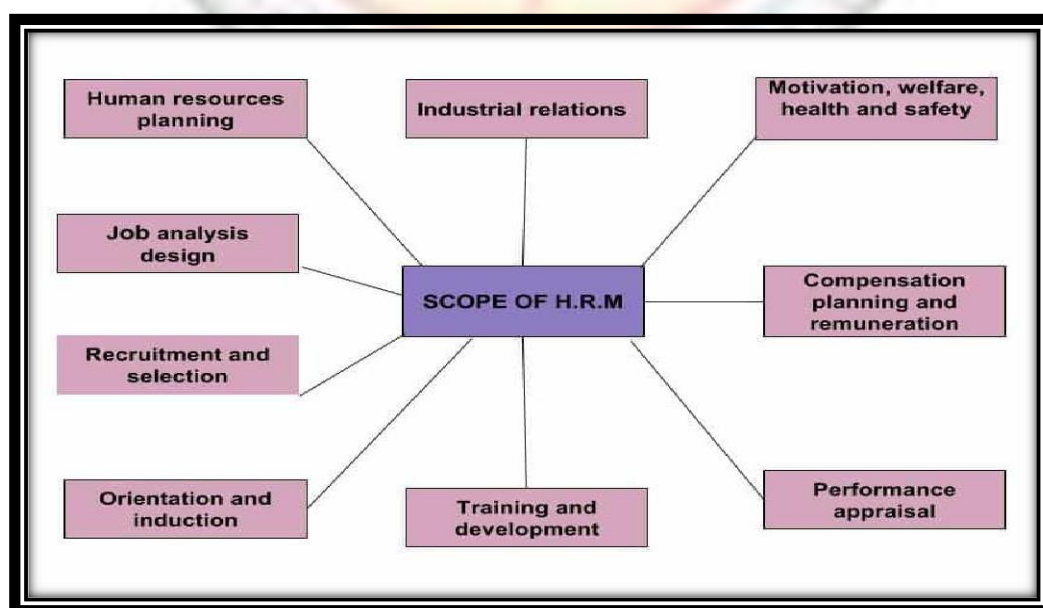
According to Flippo, “Personnel management is the planning, organizing, compensation, integration and maintenance of people for the purpose of contributing to organizational, individual and societal goals.”

SCOPE OF HRM

The scope of HRM is indeed vast. —All major activities in the working life of a worker from the time of his or her entry into an organization until he or she leaves would come under the purview of HRM. Specifically, the activities included are-

HR planning, job analysis and design, recruitment and selection, orientation and placement, training and development, performance appraisal and job evaluation, employee and executive remuneration, motivation and communication, welfare, safety and health, industrial relations (IR) and the like.

The scope of HRM is very wide. —Research in behavioral sciences, new trends in managing knowledge workers and advances in the field of training have expanded the scope of HR function in recent years, The Indian Institute of Personnel Management has specified the scope of HRM.¶



1. Human resources planning

Human Resource Planning refers to a process by which the company tries to find the number of jobs vacancy in which a particular department and The number of staff required with the necessary qualification and experience.

2. Job analysis design

Another important area of Human Resource Management is job [analysis](#). Job analysis gives detailed information about the job description and employee specifications in the company.

3. Recruitment and selection

Based on information collected from job analysis the company prepares advertisements and publishes them in the newspapers, Employment sites, etc. This is recruitment. A number of applications are gathered after the advertisement is published, interviews are conducted and the right employee is selected for the right post and right time thus recruitment and selection are yet another important areas of Human Resource Management.

4. Orientation and induction

Once the employees have been selected an induction or orientation program is conducted. The employees are informed about companies' backgrounds, products, different subsidiaries' organizational culture and values, and work ethics and introduced to the new employee to other employees.

5. Training and development

Every employee goes into a training program which helps him to put up a better performance on the job. The training program is also conducted for existing staff that have a lot of experience. This is called refresher training. Training and development is one area where the company spends a huge amount.

6. Performance appraisal

Once the employee has put on the job performance appraisal is conducted that is the Human Resources department checks the performance of the employee. Which helps appraise future promotions, incentives, increments in salary, etc

7. Compensation planning and remuneration

There are various rules regarding compensation and other benefits. It is the job of the Human Resources department to look into remuneration and compensation planning.

8. Motivation, welfare, health, and safety

Motivation becomes important to sustain the number of employees in the company. It is the job of the Human Resources department to look into the different methods of motivating & encourage the employee. Apart from this certain health and safety regulations have to be followed for the benefit of the employees.

9. Industrial relations

Another important area of Human Resource Management is maintaining co-ordinal relations with the union members. with employer-employee, and employee-employee This will help the organization to coordinate with one another for smooth working.

Scope of HRM is very comprehensive as compare with personnel management. It is discussed in detail in the following table;

Dimension	Personnel Management	Human Resource Management
1. Employment contract	Careful delineation of written contracts	Aim to go beyond contract
2. Rules	Importance of devising clear rules	Can do outlook , impatience with rule
3. Guide to management action	Procedures	Business need
4. Behaviour referent	Norms / customs and practices	Values/mission
5. Managerial task vis-a vis labor	Monitoring	Nurturing
6. Key relations	Labor management	Customer
7. Initiatives	Piecemeal	Integrated
8. Speed of decision	Slow	Fast
9. Management role	Transactional	Transformational leadership
10. Communication	Indirect	Direct
11. Prized management skills	Negotiation	Facilitation
12. Selection	Separate , marginal task	Integrated, key task
13. Pay	Job evaluation(fixed grades)	Performance related
14. Conditions	Separately negotiated	Harmonization

EVOLUTION OF HRM

The evolution of the concept of Human Resource Management is presented below

Period before industrial revolution – The society was primarily an agriculture economy with limited production. Number of specialized crafts was limited and was usually carried out within a village or community with apprentices assisting the master craftsmen. Communication channel were limited.

Period of industrial revolution (1750 to 1850) – Industrial revolution marked the conversion of economy from agriculture based to industry based. Modernization and increased means of communication gave way to industrial setup. A department was set up to look into workers wages, welfare and other related issues. This led to emergence of personnel management with the major task as

Worker's wages and salaries

- Worker's record maintenance
- Worker's housing facilities and health care

An important event in industrial revolution was growth of Labor Union (1790) – The workers working in the industries or factories were subjected to long working hours and very less wages. With growing unrest, workers across the world started protest and this led to the

establishment of Labor unions. To deal with labor issues at one end and management at the other Personnel Management department had to be capable of politics and diplomacy, thus the industrial relation department emerged.

Post Industrial revolution – The term Human resource Management saw a major evolution after 1850. Various studies were released and many experiments were conducted during this period which gave HRM altogether a new meaning and importance.

A brief overview of major theories release during this period is presented below

□ **Frederick W. Taylor** gave principles of scientific management (1857 to 1911) led to the evolution of scientific human resource management approach which was involved in

- o Worker's training
- o Maintaining wage uniformity
- o Focus on attaining better productivity.

□ **Hawthorne studies**, conducted by Elton Mayo & Fritz Roethlisberger (1927 to 1940). – Observations and findings of Hawthorne experiment shifted the focus of Human resource from increasing worker's productivity to increasing worker's efficiency through greater work satisfaction.

□ **Douglas McGregor Theory X and Theory Y** (1960) and Abraham Maslow's Hierarchy of needs (1954) – These studies and observations led to the transition from the administrative and passive Personnel Management approach to a more dynamic Human Resource Management approach which considered workers as a valuable resource.

As a result of these principles and studies, Human resource management became increasingly line management function, linked to core business operations. Some of the major activities of HR department are listed as-

1. Recruitment and selection of skilled workforce.
2. Motivation and employee benefits
3. Training and development of workforce
4. Performance related salaries and appraisals.

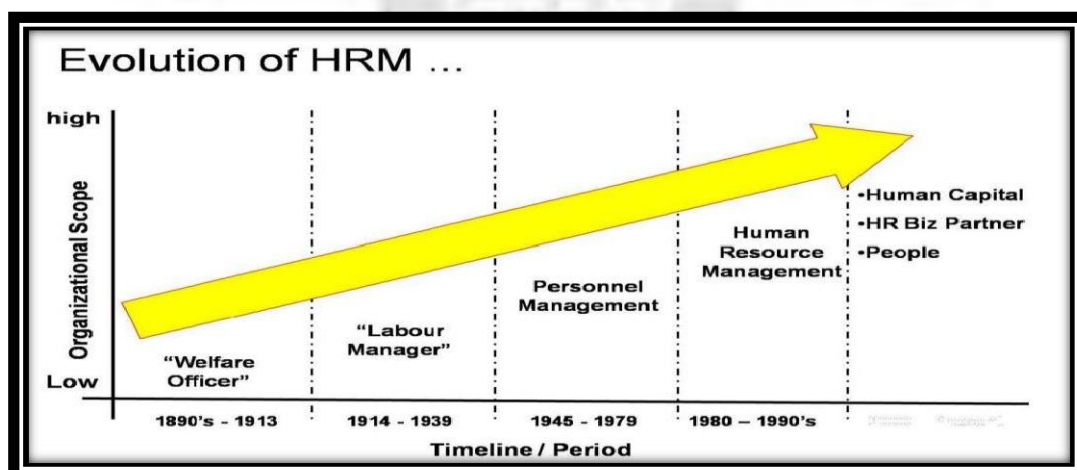
The early part of the century saw a concern for improved efficiency through careful design of work. During the middle part of the century emphasis shifted to the availability of managerial personnel and employees productivity. Recent decades have focused on the demand for technical personnel responses to new legislation and governmental regulations increased concern for the quality of working life, total quality management and a renewed emphasis on productivity. Let us look into these trends more closely by examining the transformation of personnel function from one stage to another in chronological sequences.

Evolution of the Personnel Function

- **The commodity concept:** Labor was regarded as a commodity to be bought and sold. Wages were based on demand and supply. Government did very little to protect workers.
- **The Factor of Production concept:** Labor is like any other factor of production, viz., money materials land etc. Workers are like machine tools.
- **The Good will concept:** Welfare measures like safety, first aid, lunch room, rest room will have a positive impact on worker's productivity.
- **The Paternalistic Concept / Paternalism:** Management must assume a fatherly and protective attitude towards employees. Paternalism does not mean merely providing benefits but it means satisfying various needs of the employees as parents meet the requirements of the children.
- **The Humanitarian concept:** To improve productivity, physical, social and psychological needs of workers must be met. As Mayo and others stated, money is less a factor in determining output than group standards, group incentives and security. The organization is a social system that has both economic and social dimensions.
- **The Human Resources concept:** Employees are the most valuable assets of an organization. There should be a conscious effort to realize organizational goals by satisfying needs and aspirations of employees.
- **The Emerging concept:** Employees should be accepted as partners in the progress of a company. They should have a feeling that the organization is their own. To this end managers must offer better quality of working life and offer opportunities to people to exploit their potential fully. The focus should be on Human Resource Development.

Strategic Human Resource Management Approach

With increase in technology and knowledge base industries and as a result of global competition, Human Resource Management is assuming more critical role today. Its major accomplishment is aligning individual goals and objectives with corporate goals and objectives. Strategic HRM focuses on actions that differentiate the organization from its competitors and aims to make long term impact on the success of organization.



Conclude the major difference between HRM & PM

- **Personnel management** is defined as an administrative specialization that **focuses** on hiring and developing employees to become more valuable to the company. It is sometimes considered to be a sub-category of **human resources** that only **focuses** on **administration**. Personnel management focuses on personnel administration, employee welfare, and labor relation. Personnel management assumes people as input for achieving the desired output.
- Human resource management focuses on acquisition, development, motivation, and maintenance of human resources in the organization.

HRM MODELS

Human Resources models help to explain the role of HR in the business. These models enable us to explain what HR's role is, how HR adds value to the business, and how the business influences HR.

The Human Resource Management model contain all human resource activities. When these activities are discharged effectively, they will result in a competent and willing workforce who will help realize organizational goals. There is another variable in HR models - environment. It may be stated that the Human Resource function does not operate in vacuum. It is influenced by several internal and external forces like economic, technological, political, legal, organizational and professional conditions.

They provide an analytical framework for studying HRM (for example, situational factors, stakeholders, strategic choice levels, competence).

They legitimize certain HRM practices; a key issue here being the distinctiveness of HRM practices: "It is not the presence of selection or training but a distinctive approach to selection or training that matters."

They provide a characterization of HRM that establishes variables and relationship to be researched.

They serve as a heuristic device - something to help us discover and understand the world of explaining the nature and significance of key HR practices.

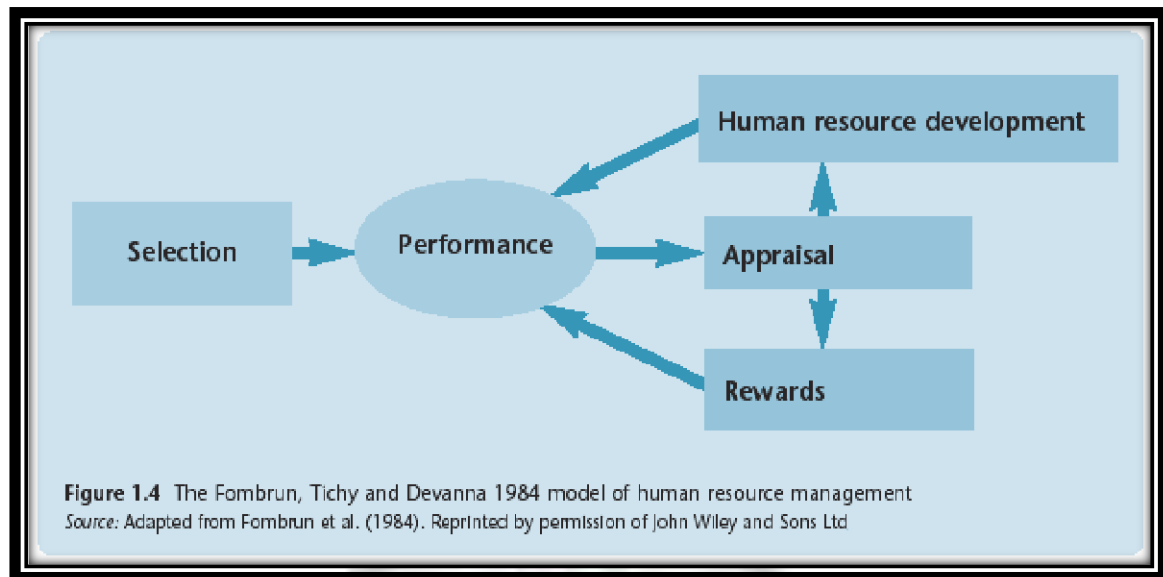
- Provide an analytical framework for studying HRM.
- Legitimate certain HRM practices.
- Establish variables and relationships to be researched.
- Explain the nature and significance of key HR practices.

HRM MODELS:

1. Fombrun, Tichy & Devanna / Michigan Business School/Matching.
2. The Harvard Model;
3. Guest Model
4. The Warwick Model;
5. Storey Model
6. The Ulrich Model
7. The 5Ps Model
8. 3legged Model

1. MODEL OF FOMBRUN, TICHY & DEVANNA/ MICHIGAN BUSINESS SCHOOL/MATCHING MODEL

- This model held that HR system and the organizational structure should be managed in a way that is congruent with organizational strategy.
- Main focus was on the four functions of HRM i.e. selection, appraisal, development and rewards and their inter relatedness.
- The **Michigan/Matching Model of HRM** According to this model, there is a human cycle of HRM which consist of four generic processes or functions that are performed in the organization.
- These four generic processes include:
 - a) Selection: Matching available human resource to Jobs.
 - b) Appraisal: Performance and Management.
 - c) Rewards: Focus on organization performance. Reward system is one of the most under-utilized and mishandled managerial tools for driving organizational performance.
 - d) Development: Developing high-quality employee.



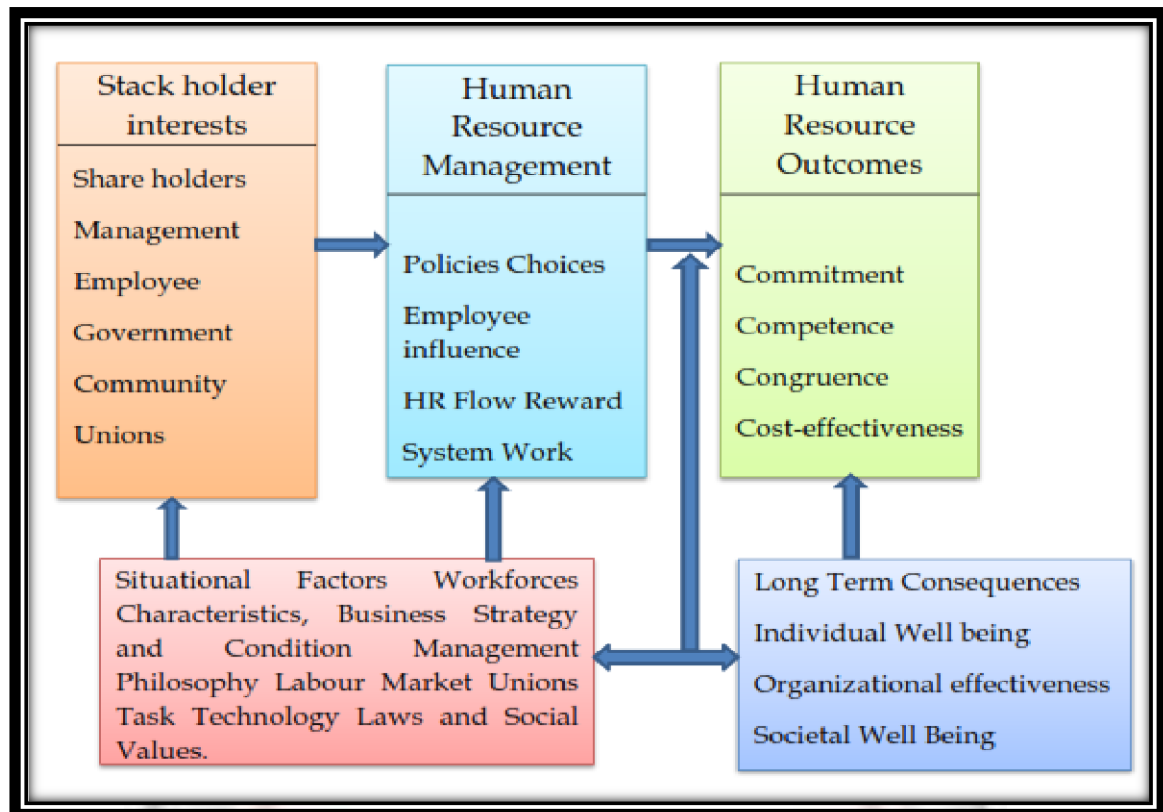
- This is the first and very simple model that serves as a heuristic framework for explaining the nature and significance of the key HR activities.
- But it is incomplete as it focuses only on four functions and ignores all environmental and contingency factors that impact HR functions.

Evaluation Prescriptive.

- Ignores stakeholder interests, situational factors and notion of strategic choice.
- Expresses the coherence of internal HR policies and the importance of ‘matching’ them to external business strategy.
- But it is incomplete as it focuses only on four functions and ignores all environmental and contingency factors that impact HR functions.

2. The Harvard model of HRM

- By Michael Beer et al in 1984 at Harvard University
- Operating with 5 significant components:
 1. Situational factors & stakeholders interest affects
 2. Shape HRM policies.
 3. Implement HR Policies to achieve HR Outcome, which lead to favorable consequences.
 4. Situational factors Stakeholders interest HRM Policies HRM Outcome
 5. Long-term Consequences



The harvard model claims to be comprehensive in as much as it seeks to comprise six critical components of HRM. The dimensions included in the model are: stakeholders interests, situational factors, HRM policy choices, HR outcomes and long term consequences.

The **Stakeholders** interests recognize the importance of 'trade offs' between the interests of the owner and those of employees. Trade offs also exists among other interest groups. But this is the challenge of HR manager, who needs to balance the interests of all stakeholders.

The **Situational Factors** influence management's choice of HR strategy. the contingent factors included in the model include work force characteristics, management philosophy, labour market, task, technology and laws and social values.

HRM Policy Choices emphasize the management's decisions and actions in terms of HRM can be fully appreciated only if it is recognised that they result from an interaction between constraints and choices. This model outlines four HR Policy areas:

Employee Influence - delegated levels of authority, responsibility, power etc.

HR Flows - recruitment, selection, promotion, appraisal, termination etc.

Reward System - Pay system, motivation etc.

Work System - design of work and alignment of people

These HRM policy choices lead to 4 Cs of HR Policy Outcomes, that have to be achieved:

1. **Commitment:** An employee commitment strategy is a promise, a sort of mission statement where your business leaders also commit to the employee population.
2. **Congruence:** Congruence between individuals and organizations generally refers to employees' basic compatibility with their workplaces and specific jobs. ... More specifically, theory has suggested two core aspects of individual-organizational congruence: person-organization fit (POF) and employee's level of met expectations (ME).
3. **Competence:** competency framework is essentially a structured process to help HR staff develop their skills. Identifying core competencies -- essential skills, behaviors and attributes -- that relate to each role within HR -- is a step toward creating a standardized approach to effective HR performance.
4. **Cost Effectiveness:** The definition of cost effective is something that is a good value, where the benefits and usage are worth at least what is paid for them. And ensuring you receive maximum value from your employees and your HR programs

Beer et al (1984) proposed that long term Consequences both benefits and costs of HR policies should be evaluated at three levels: Individual, Organizational and Societal. These in turn should be analyzed using the 4 Cs.

The Feedback Loop is the sixth component of the Harvard Model. as was stated above, situational factors influence HRM policy and choices, and are influenced by long-term consequences. Similarly, stakeholders interests influence HRM policy choices, and in turn, are impacted by long-term consequences

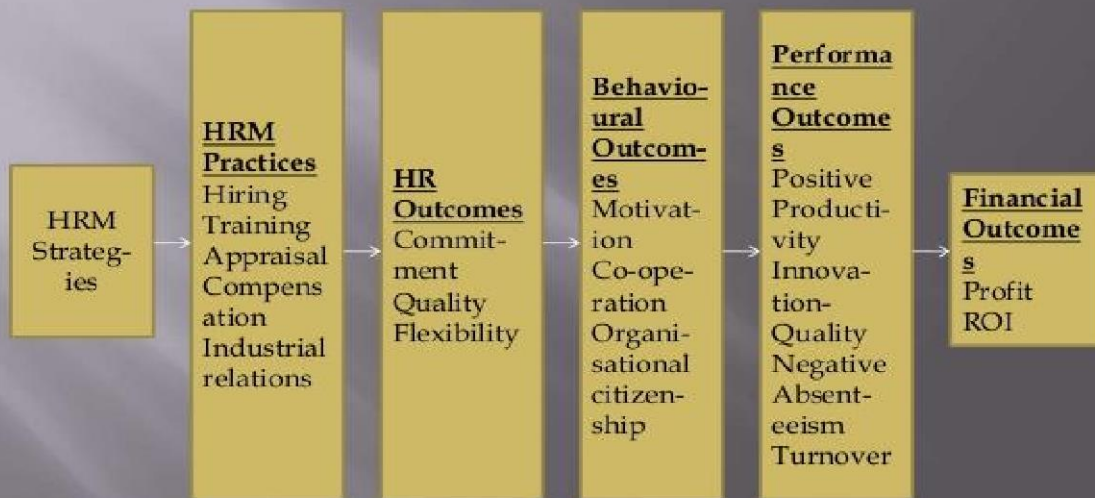
Evaluation

- Classifies inputs and outcomes at both organizational and societal level.
- Absence of a coherent theoretical basis for measuring the relationship between HR inputs, outcomes and performance

3. GUEST MODEL

It was developed by David Guest in 1997 and claims to be much superior to other models. This model claims that the HR manager has specific strategies to begin with, which demand certain practices and when executed, will result in outcomes. These outcomes include behavioral, performance and financial related.

1. The Guest Model



The model emphasizes the logical sequence of six components i.e. HR strategy, HR practices, HR outcomes, Behavioral outcomes, Performance outcomes and Financial outcomes.

Looking inversely, financial results depend on employee performance, which in turn is the result of action oriented employee behaviors. Behavioral outcome are the result of employee commitment, quality and flexibility, which in turn are impacted by Hr practices.

HR practices need to be in turn with HR strategies which are invariably aligned with organizational strategies

Table 1.2 The Guest model of human resource management (HRM)

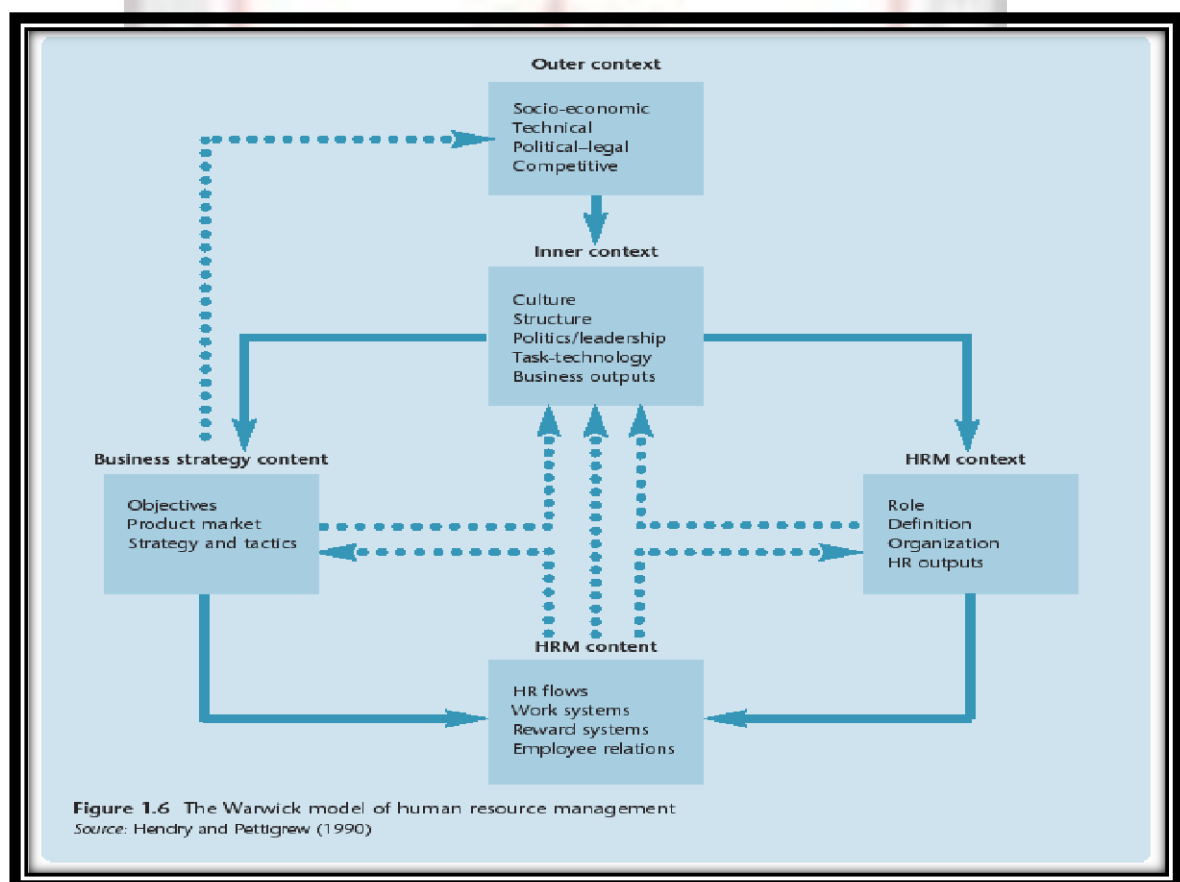
HRM strategy	HRM practices	HRM outcomes	Behaviour outcomes	Performance outcomes	Financial outcomes
Differentiation (innovation)	Selection	Commitment	Effort/ motivation	High: Productivity Quality Innovation	Profits
	Training				
Focus (quality)	Appraisal	Quality	Cooperation	Low: Absence Labour turnover Conflict Customer complaints	Return on investment
Cost (cost-reduction)	Rewards				
	Job design	Flexibility	Organizational citizenship		
	Involvement				
	Status and security				

Source: Guest (1997)

4. THE WARWICK MODEL

This model was developed by two researchers, Hendry and Pettigrew of university of Warwick (hence the name Warwick model).). Like other models, the Warwick proposition centres around five elements (See Figure):

- I. Outer Context (macro environmental forces)
 - II. Inner Context (firm specific or micro environmental forces)
 - III. Business Strategy Content
 - IV. HRM Context
 - V. HRM Content
- This model takes recognizance of **business strategy and HR practices (as the Guest Model)**, the external and internal context (unlike the Guest Model), in which these activities take place, and the process by which such changes take place, including interactions between changes in both context and content. the strength of the model is that it **identifies and classifies important environmental influences on HRM**.
 - It maps the **connection between the external and environmental factors and explores how HRM adapts to changes in the context**.
 - Obviously, those organisations achieving an alignment between the external and internal contexts **will achieve performance and growth**.



5. JOHN STOREY HRM MODEL

- HRM aims to keep that the time obtains and retains the skilled, committed and well-motivated touch it needs. **It therefore requires employees, in the luxuries of Guest as verbs rather than objects.**
- Meet worthwhile **needs HRM aims to book and implement policies that balance and show to the needs of its stakeholders and direct for the courtroom of a very workforce**, taking into account individual and categorize differences in modern, personal needs, mission style and deficits, and the provision John storey hrm model equal opportunities for all.
- Demonstrates the **differences between the ‘personnel and industrials’ and the HRM paradigm by creating an ‘ideal’ type.**
- Characterizes HRM as ‘an amalgam of description, prescription, and logical deduction’.
- The model by John Storey is based on **four aspects**. Beliefs and Assumptions The model is premised on the notion that HRM is based on a set of beliefs and assumptions, which makes it a distinctive approach.

Table 1.3 The Storey model of human resource management

Personnel and industrial relations (IR) and human resource management (HRM): the differences

<i>Dimension</i>	<i>Personnel and IR</i>	<i>HRM</i>
Beliefs and assumptions		
Contract	Careful delineation of written contracts	Aim to go ‘beyond contract’
Rules	Importance of devising clear rules/mutuality	‘Can do’ outlook; impatience with ‘rules’
Guide to management action	Procedures/consistency control	‘Business need’/ flexibility/commitment
Behaviour referent	Norms/custom and practice	Values/mission
Managerial task vis-à-vis labour	Monitoring	Nurturing
Nature of relations	Pluralist	Unitarist
Conflict	Institutionalised	De-emphasised
Standardisation	High (for example ‘parity’ an issue)	Low (for example ‘parity’ not seen as relevant)
Strategic aspects		
Key relations	Labour–management	Business–customer
Initiatives	Piecemeal	Integrated
Corporate plan	Marginal to	Central to
Speed of decision	Slow	Fast

Line management		
Management role	Transactional	Transformational leadership
Key managers	Personnel/HR specialists	General/business/line managers
Prized management skills	Negotiation	Facilitation
Key levers		
Foci of attention for interventions	Personnel procedures	Wide-ranging cultural, structural and personnel strategies
Selection	Separate, marginal task	Integrated, key task
Pay	Job evaluation; multiple fixed grades	Performance-related; few if any grades
Conditions	Separately negotiated	Harmonisation
Labour-management	Collective bargaining contracts	Towards individual contracts
Thrust of relations with stewards	Regularised through facilities and training	Marginalised (with exception of some bargaining for change models)
Communication	Restricted flow/indirect	Increased flow/direct
Job design	Division of labour	Teamwork
Conflict handling	Reach temporary truces	Manage climate and culture
Training and development	Controlled access to courses	Learning companies

Source: Storey (1992)

6. THE ULRICH MODEL

The Dave Ulrich HR Model is meant specifically to organize human resources functions. This was developed by David Ulrich who suggested that in giant organizations or large-scale businesses, HR functions should be compartmentalized into four segments.

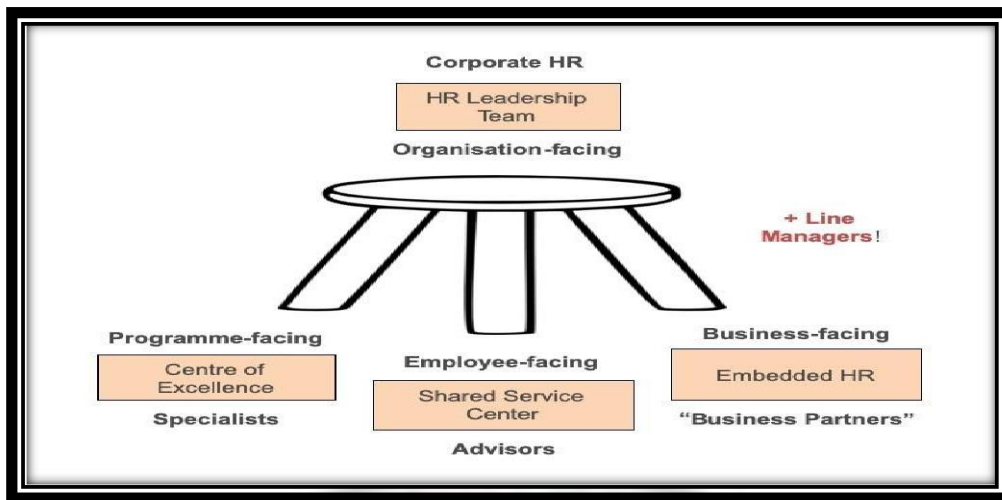


- The Ulrich Model falls under the creative HRM and focuses on organising all HR functions into four central roles: strategic partner, change agent, administrative expert, and employee champion (or employee advocate). ... Ulrich emphasised that remodelling HR doesn't rely primarily on HR functions, however.
- Rather than focusing on processes and functions, this model is centred around people of the organisation and the roles they play in the [grand scheme of things](#).
- Ulrich emphasised that remodelling HR doesn't rely primarily on HR functions, however. He stressed that CEO, together with senior management, also has a significant part to play in the process.
- Although the Business Partner Model is causing much debate when it comes to determining if it's still valid today, it represents an important milestone in HRM history and is still in use in many organisations.
- Ulrich listed 10 challenges to the business that would necessitate the recasting of HR function:
 - ❖ Globalization
 - ❖ Value chain for business competitiveness and HR services
 - ❖ Profitability through cost and growth
 - ❖ Capability focus
 - ❖ Change
 - ❖ Technology
 - ❖ Attracting, retaining, and measuring competence and intellectual capital
 - ❖ Turnaround is not transformation

7.3 LEGGED STOOL MODEL

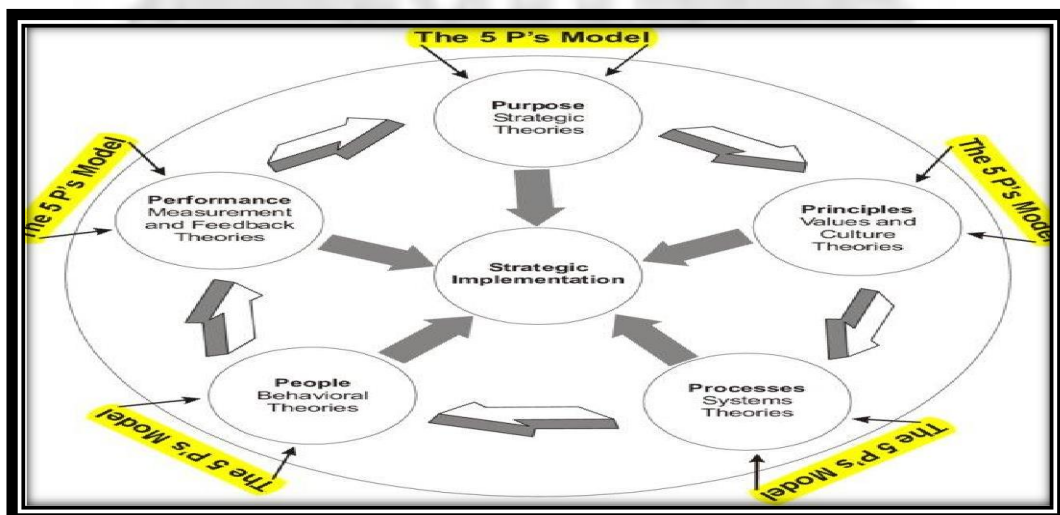
- ❑ Another type of HR strategy involves the use of Ulrich's **three-legged stool model**, an HR **model** that involves HR business partnering, centers of expertise, and shared services. ... As an example, this could mean helping management understand how employees will be impacted by any given change in a company's strategy.
- ❑ Certain aspects of the Ulrich model have come to be presented as a 'three-legged stool' or 'three-box' model for HR.
- ❑ The 'three-legged model' of HR rests on three key elements:
 - ❑ HRBPs
 - ❑ Shared HR services

- ❑ HR centers of excellence



8. THE 5P'S MODEL

- The 5P's HRM Model is a form of strategic HRM developed in 1992 by Randall S. Schuler, a praised scholar dedicated to the matters of global HRM, strategic HRM, the function of HRM in organisations and the interface of business strategy and human resource management.
 - As its name suggests, The 5P's Model is based on five constitutional aspects: *purpose, principles, processes, people*, and *performance*. According to this framework, aligning and balancing these five principles leads to achieving company success.
- The 5P's Model defines;
- **Purpose** as the organisation's vision, mission, and primary objectives;
 - **Principles** are defined as operational protocols set to lead to achieving a purpose;
 - **Processes** include organisation architecture, systems, and methods of operation;
 - **People** are the vital HR resource performing tasks in line with the appointed principles and processes;
 - **Performance**, ultimately, is a result that can be measured by the appropriate standards.



HUMAN RESOURCE MANAGEMENT IN INDIA

- **HRM** emphasis on a harmonious balance between employee demands & organizational requirements.
- Development of **HRM in India** has now occupied a centre stage and its growing
- India is the world's favorite outsourcing destination. India's share of the global offshore outsourcing market for software and back-office services is 44%.
- According to the National Association of Software Companies (Nasscom), India's premier trade body of the IT software and services industry, technology and IT services exports in India were worth \$17.2 bn (£9.5 bn) in the year ended March 2005, a rise of 34.5% over the previous year.
- A further expansion of 30% in exports is predicted in the next twelve months, to reach \$22.5 bn. The US accounts for 68% of Indian exports.pt pace with the industry

Human Resource Management in India – Opportunities and Challenges

Outsourcing Worldwide:

A. Current Outsourcing Trends Worldwide:

1. Outsourcing in traditional areas like customer care, financial services, manufacturing, IT etc., is growing.
2. Large multinational companies are investing in captive BPO units in supplier countries in different locations, to reduce risk and maintain control over quality.
3. Outsourcing has become more challenging. Customers are looking for business process excellence, speedy access to market, improvement in quality, benchmarking to world- class standards.
4. In the increasing scenario of global competition there is pressure mounting on margins from emerging lower-cost outsourcing destinations.
5. Risk factors involved in outsourcing like terrorism and war, disaster and disease make formulation of contingency plans a necessity.
6. For the past two decades, China has been growing at an astonishing 9.5% a year and India by 6%. They are influencing the global economy and leading the outsourcing revolution.

B. Future Outsourcing Trends Worldwide:

- Outsourcing expenditure will continue to rise.
- More countries will find attractive outsourcing options, creating a multi-polar world. The European Union markets will expand their offshoring programs, while Japan will increasingly look to China for its needs, whereas leading on the front will be UK and US.
- Clients will have greater hold over driving and designing deals.
- The interlinking of the supply chains as a result of outsourcing will create stability as companies pressurize governments to avoid wars.
- Unexpected occurrences like war, terrorism, disease, natural disasters and economic disruption can throw a wrench in the works.
- The rising price of oil will cause oil consuming countries like the USA to be less competitive relying more on India and China for outsourcing.

- India will show excellence in Services that require advanced English like Knowledge Process Outsourcing (KPO).
- Political backlash over outsourcing is likely to reduce over time as companies continue to reap the benefits of offshoring.
- Technological power will shift from the West to the East as India and China emerge as big players in the global outsourcing market.
- It is expected that by 2015 China will be No. 1, India No. 2 in the global top five outsourcing destinations.
- Vendor focus will shift from basic skills, processes to domain knowledge, transition challenges, HR issues and governance.
- Regional outsourcing hubs will develop to enable companies to minimize risk and leverage cultural and linguistic compatibility.

Opportunities for India:

India can collaborate with other countries to create the business environment while providing its domain knowledge and technological expertise for successful outsourcing. For example- TCS has a Latin American arm based in Mumbai, India which serves an insurance client in Chile with a center in Uruguay as a near-shore location.

Opportunity Areas:

Knowledge Process Outsourcing (KPO) may soon be the biggest revenue generator in India as BPO companies move up the value chain in their service offerings.

This includes:

1. Research and Development:

i. Product Innovation:

Now Companies are investing more in innovation and new product development, examples include companies that have invested in R&D in India are Cisco Systems, Motorola, Hewlett-Packard, Google General Motors Corp. and Boeing Co among others.

ii. Co-Development:

In pharmaceuticals, India has the opportunity of co-development and ownership of new patented drugs through drug research, clinical trials and manufacturing. Indian pharma major Ranbaxy has an agreement with MNC GlaxoSmithKline to commercialize compounds they develop together.

2. Legal Outsourcing:

India's qualified lawyers with experience in the British legal system and knowledge of English can offer paralegal support, legal support and patent services. Few Indian companies which are affiliated with American law firms are now able capture a tiny piece of the American market.

3. Engineering Outsourcing:

India can provide high-quality engineering services in the fields of:

- i. Mechanical and Electronic engineering— analysis and design, embedded software.
- ii. Plant Design, Process Engineering.
- iii. Plant Automation Services.

4. Remote Infrastructure Management Services:

India can offer management services for IT infrastructure, IT security and maintenance, thus, this sector presents great potential.

5. Accounting Services:

We are in the initial stage where payroll processing and basic accounting task is being done for large American companies. However, in the latter stage soon a full range of accounting and tax services will be provided by Indian companies.

6. Outsourcing Options:

Outsourcing Options for India also exist in the field of Financial Research, content development, publishing, web services; human resource outsourcing: recruitment, training, education and many others.

Challenges for India:

1. Rising Competition:

- i. In the coming years, China will replace India in the global ITES-BPO industry.
- ii. India's appalling Infrastructure will continue to be a drag on the potential of India paving way to other countries for the competitive advantage.
- iii. Other competing countries providing cheaper outsourcing options will provide tough competitors to India—East Europe, Latin America, South Africa.
- iv. The education system needs to transform to enable people acquire skill sets that match industry needs.
- v. The transition to knowledge processing will be a much bigger challenge for the Indian companies as typical college graduates may not have knowledge or background to understand global issues required by this type of service.

2. Flexitime:

Flexitime allows an employee to select work schedules while keeping in mind the organization's need to maintain work cover. It means an employee can choose working hours which are convenient, thus easing out the stress of commuting to work.

Benefits of Flexitiming:

Indian employers are slowly realizing that allowing flexitime ensures that employee time is concentrated where the business actually needs it. The employees now are opting more and more for "flexitime". This flexible working strategy is vividly acknowledged as "no-more-late-excuses-to-boss". Flexitime let a person works according to its biological clock. It means that employees could go to the office from the time they fell doing so.

Because of this privilege, employees could avail of some "breathing spaces" away from the pressure of office works and deadline and the psychological pressure of presence of their boss. Flexitime is deemed to be an important factor to prevent women's turnover and provide a useful "trick" for them to re-enter the labor force after giving birth or caring for an old parent.

3. Downsizing:

- Downsizing refers to the planned elimination of positions or jobs with the intention to cut costs and to improve organizational performance. Also known as rightsizing, reorganization, restructuring, and rationalization downsizing, it is a techno-structural organization development intervention that ranges from a mere headcount reduction to a

part of a continuous corporate renewal process through which the organization is reinvented.

- Reducing head count causes organizations to lose human capital, and be left with unhappy and overworked employees as the remaining employees have to do perform tasks for which they are not trained.
- Downsizing remains an attractive option for many organizations since it creates the impression that decisions are made and actions are being taken.
- Some experts believe that downsizing is handled in different ways. According to Hopkins and Hopkins (1999), while top management has a moral obligation to act in the best interests of the firm, they also have a legal obligation to protect the rights of employees. To achieve the latter end, the decision of downsizing should be communicated in a timely and appropriate manner with the provision of complete information.
- The involvement of employees in the downsizing process cannot be compromised. Thus, two-way and honest communication must be practiced at all times.

FACTORS AFFECTING HUMAN RESOURCE MANAGEMENT

Human resource management is a subsystem of an organization as a system. However, when a subsystem is taken for analysis, it is treated as a system because it has the features of a system. A system works in the context of its environment. Environment of a system consists of all those factors which lie outside the system but affects working of the system.

In the case of human resource management, there are two categories of environmental factors-external and internal.

1. **External factors** are all those factors which lie outside an organization and affect its working, including human resource management.
2. **Internal factors** are all those factors which lie within the organization and affect human resource management.

EXTERNAL FACTORS:

A. Economic Factors:

- Economic factors are those factors which give shape and form to the development of economic activities and include factors like nature of economic system, general economic conditions, various economic policies, and various factors of production including human resources.
- Out of these, factors that influence human resource management practices are population and workforce, workforce market conditions, national income, and inflationary pressures.
- **Population and Workforce** Population and workforce influence human resource management because these form the basis for an organizations' external supply of human resources.

- Workforce market condition shows demand and supply of workforce. It influences human resource management practices relating to recruitment and selection.
- Exchanges between employers and potential employees occur in the workforce market. Since workforce market includes all types of workforce, only relevant workforce market is taken into account for searching potential employees.

B. SOCIO-CULTURAL FACTORS:

- Socio-cultural factors are quite comprehensive and affect various aspects of organizational operations, including human resource management. From human resource management point of view, attitudes, beliefs, desires, expectations, and customs of the society at a given point of time are important.
- Socio-cultural factors have direct impact on organizational culture. If the organizational culture is not in accordance with socio-cultural characteristics, it will not be effective even if organizations offer higher monetary benefits. Since human resource management practices are one of the prime constituents of organizational culture, these practices have to be aligned to social expectations. In this context, the role of human resource professionals is very important.
- Socio-cultural factors determine what kind of role is to be, played by unions in managing human resources. If the society views that unions are the champions of employee cause, their bargaining position increases and their role in managing human resources becomes more important. In alternative situation, the role of unions in managing human resources decreases.

C. TECHNOLOGICAL FACTORS:

- Technological factors consist of sum total of knowledge providing ways to do things. These include inventions and techniques which affect the ways of doing things, that is, designing, producing, and distributing products and services. Technology affects an organization in two ways- (i) defining nature of jobs and (ii) affecting human resource management practices.
- In recruitment and selection, the total process has been reduced to such an extent that the entire process can be completed within a very short time.
- Technology has paved the way for emergence of virtual office which is devoid of a central place, known as office; no commuting of employees is required; they are linked through information technology. Therefore, they can work from any place. This helps them to maintain proper work-life balance

D. POLITICAL-LEGAL FACTORS:

- Political-legal factors include political system, role of government in business, various government policies related to business operations, laws formulated by governments, both central and state levels.
- Governments prescribe policies from time to time related to management of human resources. These policies have to be adhered by all the organizations which are covered by these policies.

- ii. There cannot be discrimination among employees on the basis of sex, caste, religion, or place of origin.
- Employee remuneration, safety, working conditions, and industrial relations systems must conform to various legal prescriptions. In India, there are various Acts passed by Parliament and State legislatures, relevant to management of human resources. For example, in India, there is National Institute of Personnel Management which has provided a code of ethics to its members that aims at governing their behaviour in performing their duties related to managing human resources.

INTERNAL FACTORS:

A. ORGANIZATION'S STRATEGY

- Human resource management issues are not independent issues but these are derived; these are derived from organization's strategy. Every organization sets its strategy either explicitly or implicitly. Strategy is a way in which an organization, reacting to its environment, deploys its principal resources and marshals its main efforts in pursuit of its purpose.
- How strategy affects human resource management practices can be seen by analyzing how strategy works in an organization. Strategy operates at three levels- corporate level, business level, and functional level. At the corporate level, strategic decision involves deciding 'what business should we be in'.
- HR strategy is formulated within the overall framework provided by corporate level and business level strategy. Depending on the nature of corporate strategy, human resource management practices are followed.

B. ORGANIZATIONAL CULTURE

- Organizational culture is another factor that shapes human resource management practices.
- Organizational culture is the set of assumptions, beliefs, values, and norms that are shared by an organization's members.
- There are two types of elements which define the culture of an organization- abstract elements and material elements. Abstract elements are internally- oriented and include values, beliefs, attitudes, and feelings.
- In high-performing culture, HR practices are intricately linked to the strategic management of the organization. In low-performing culture, there is lack of such a linkage.
- In high-performing culture, human resource function establishes business partnership with line managers who have a direct interest and involvement in delivering human resource.
- Human resource functionaries become integral part of strategic business units and customize human resource solutions to provide fast and efficient service. In low-performing culture, human resource functionaries and line managers have independent status and way of working.

- In high performing culture, the focus is on growing new managers internally by promotion from within. Therefore, training and development activities have very high importance in HRM. In low-performing culture, training and development is not accorded high importance.
- In high-performing culture, performance management is based on the person rather than the job. Assessment is done frequently and relies on multi-rater feedback. In low-performing culture, performance management is based on job result. Assessment is done after a fixed interval of time and assesses immediate superior plays significant role in assessment.

C. TRADE UNIONS:

- A. Though a trade union in an organization is a separate entity, it has been treated as an internal factor because organization's employees (particularly operatives) are members of the trade union. Trade union affects recruitment of employees, their development, compensation, maintenance, and industrial relations.
- B. Generally, agreement between management and labour is reached through collective bargaining. Outcome of the collective bargaining depends on the relative bargaining position of the management and labour. If trade union is in relatively better bargaining position, outcome of the collective bargaining goes in its favour.
- C. In such a situation, the organization has to adopt human resource management practices according to wishes of the trade union though such practices may have adverse impact on the organization. Bargaining position of a trade union depends on the strength of its members as well as support of trade unions of other organizations at the same location and apex body of trade unions at national level.

D. ORGANIZATION'S FINANCIAL POSITION:

- While the above factors are enduring in shaping human resource management practices, organization's financial position affects human resource management practices, particularly those having substantial financial implications. The ability to pay the wages and salaries, funds for retraining human resources, etc., are affected by an organization's financial position and its cash flow.
- Generally, highly profitable periods bring higher bonus while unprofitable periods may not result in any bonus (except the statutory bonus). Though many organizations tend to profess that employees are their most important asset, they manage their human resources as if employees are the most important expense.
- Therefore, when financial difficulty is experienced, the axe falls first on the employees. This is evident by substantial employee layoff during the economic slowdowns. On the other hand, employee stock option, profit sharing, performance incentives, etc. are the result of sound financial position.

HUMAN RESOURCE MANAGEMENT AND LINE MANAGERS

- **HRM** is an aspect of all **management** jobs because it is an essential organizational process.
- **Line managers**, those who directly supervise employees engaged in the operations of the firm, are closely involved in **HRM** and almost always accountable for the performance of their team
- The HR department plays an **important** role in this area: HR specialists work with **managers** to create training and development programs that are essential to fostering a good employer-employee relationship, they guide **managers** on nurturing staff morale and satisfaction levels, they act as the liaison between employees

LINE MANAGER

- A line manager is the first layer of management above the front line workers. They're accountable for their department, or part in the business.
- They manage one or more members of staff and oversee and evaluate employee contribution, performance and development.
- Line managers are the first point of contact for their direct reports, and they liaise and relay information between senior leaders, HR and workers.
- Their people management duties are on top of project organisation.
- While managers provide overall goals for a department or company, it is up to line managers to oversee teams and individuals to ensure that these goals are met.
- A line manager, also called a direct manager, is responsible for the direct supervision and management of employees in their work. The line manager reports to higher managers and plays a crucial role in human resource management.

THE LINE MANAGER IS OFTEN RESPONSIBLE FOR THE FOLLOWING FUNCTIONS:

- Hiring employees
- Supporting and training employees
- Coaching employees and providing feedback on their performance
- Helping teams meet department or company-wide goals
- Reporting to managers about individual employees' performance and about progress towards meeting department goals
- Providing performance reviews to employees
- Deciding on promotions or raises for employees
- Identifying the need for changes in the management of department goals or performance
- Working with other direct or line managers

HRM FOR LINE MANAGERS...

Line Managers identified most HR skills : Knowing individual and team behavior, mentoring / coaching / counseling as core management competencies. They also identified the following as their highest priority :

- | | |
|--------------------------|-----------------------------|
| 1. Manage Change | 2. Manage Teams |
| 3. Leadership | 4. Internal Personal Skills |
| 5. Conflict Management | 6. Workload Management |
| 7. Customer Needs | 8. Performance Management |
| 9. Time Management | 10. Moral Building |
| 11. HR Laws & Procedures | 12. Diversity |



HRM FOR LINE MANAGERS...

CHALLENGES FOR LINE MANAGERS

- Rapidly Changing Business Environment
- Pressure to “do more” with Fewer Resources
- Downsizing of the Staff
- Greater Workforce Diversity
- Increasing Gap in Skill Availability and Job Requirements



7 CORE HR SKILLS AND COMPETENCIES

- **Effective Communication**
- **Relationship-building**
- **Adaptability Skills**
- **Technological Skills**
- **Keep Learning**

- **Critical Thinking**
- **Interpersonal skills**

1. Effective Communication

Hr professionals must have impeccable communication skills. When the job is to deal with people, it becomes paramount for any HR professional to have strong communication skills. They constantly deal with people over the phone or email, draft company policies, and conduct interviews.

Therefore any HR professional must have excellent writing skills to avoid any miscommunication. They must actively listen to understand others' perspectives and bring a more honest discussion between them and the managers.

Effective communication helps HR managers to handle employee grievances empathically and also manage any internal conflicts effectively.

2. Relationship-building

Building relationships between the HR group and other departments is one of the critical components to bring business together. This helps in maximizing the potential of the organization and its success. Relationships in the workplace often need a great deal of care and communication. There are also some casual relationships (think of vendors and dealers who deliver goods to your workplace) that need your attention. Therefore, HR professionals must emphasize building relationships among every department so that they can thrive together.

HR professionals must listen and respond to the concerns of the other departments and act as a glue to keep them stick together. Since a workplace has diverse individuals, HR professionals must introduce inclusive policies, and everyone feels welcomed in the workplace.

3. Adaptability Skills

The world of business is changing every day. And you cannot get too comfortable but adapt yourself to the changing times. These will allow HR managers to rethink their current company policies and curate new ones that are more relevant and effective. Since HR managers actively participate in decision-making and business strategies, they need to forecast the need for changes.

For fostering a healthy work environment, HR Professionals must develop new tactics to keep the employees engaged and actively invest themselves in finding ways to retain them.

4. Technological Skills

With the whole world going increasingly digital, HR managers need the ability to adapt to new technology. HR managers are expected to handle a variety of duties that includes-

- Recruiting talented employees.
- Managing onboarding and training for new hires.
- Tracking payroll.
- Handling employee grievances.
- Retaining good employees.

Technological skills give Hr professionals an edge while managing the above duties and more.

For example, social media tools help them posting job openings online and reach out to more potential candidates. And at the same, Talent Acquisition Software (ATS) makes their jobs incredibly easier while recruiting and hiring. Therefore, it is very critical for HR professionals to have good digital skills.

5. Keep Learning

As they say, learning is a never-ending process. The same holds for any HR professionals. The work culture of today's organizations demands better management, support, growth, and development. Deepening your knowledge in the Human Resource Management field and applying new Hr trends will always help you become the front runner. Therefore, prosperous HR managers look to develop and understand the benefits of new Hr research outcomes and connect them to the current trends in the HR field.

6. Critical Thinking

Linder Elder, a prominent scholar, describes Critical thinking as “Self-guided, self-disciplined, thinking which attempts to reason at the highest level of quality in a fair-minded way.

Critical thinking is one of the most essential attributes for anyone in HR. Whether you are hiring a new candidate, negotiating pay rises, or deciding how to deal with employee grievances, it is imperative to critically analyze the situation and make decisions.

Critical thinking helps bring a rational perspective and help HR professionals to deal with a difficult situation with ease. Either it is conflict resolution or addressing an issue with the employees, and critical thinking helps reconstruct or put forward views and ideas that work best for the work environment.

7. Interpersonal skills

Interpersonal skills are the soft skills that hold great value to HR professionals. These skills include active listening, verbal and non-verbal communication, social awareness, self-management, accountability, and so on. People with high interpersonal skills are intuitively good communicators and efficient managers. They show the right attitude and aptitude while communicating. Interpersonal skills allow one to communicate successfully with others at work and in the broader community. Some people are born with this kind of ability, but they can all be enhanced with practice. Expressing respect, settling conflicts, and hearing well are all interpersonal skills worth learning for any HR professional.

HRM AND FIRM PERFORMANCE

- HRM leads to better firm performance but that this link disappears once past performance is controlled (Guest et al., 2003), suggesting that past performance is a much stronger predictor of current performance and overtakes any impact of HRM.
- The results indicated that all HRM practices are significantly and positively correlated with company performance. In particular, training and development practices are seen to be significantly related with capacity to deliver quality service and on firm sale growth as perceived by managers surveyed.
- In order to understand the HRM–performance relationship, we start by introducing two major concepts that underpin this relationship. The first concept is strategic management, which refers to the managerial decisions and actions that may improve performance in an organisation. The second concept is strategic HRM (SHRM), which refers to the processes that link HRM policies and practices with the strategic objectives of the organisation.
- Strategic management consists of several serially dependent components or steps, which determine the strategic management process in an organisation (also called the strategic management model). These include:
 - ❖ **Organisational identification**
 - ❖ **Environmental analysis.**
 - ❖ **Strategy formulation**
 - ❖ **Strategy implementation**
 - ❖ **Strategy evaluation**

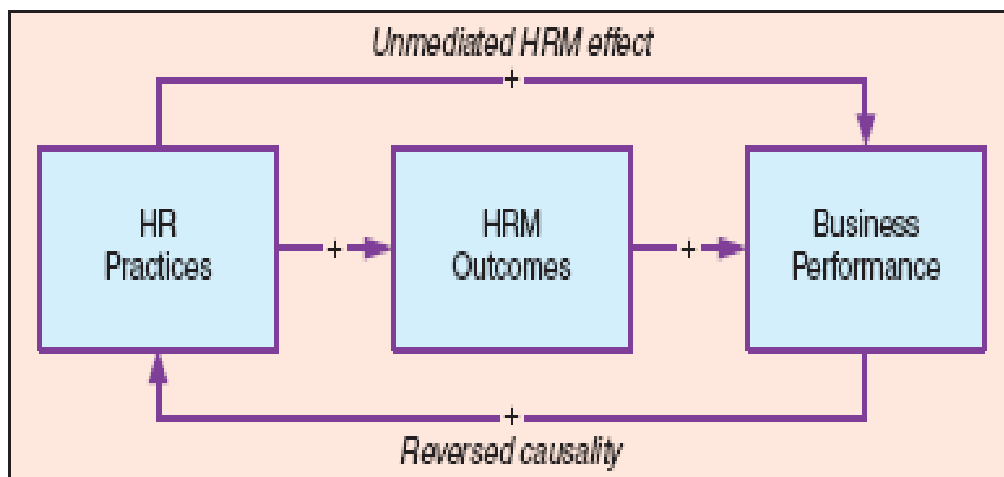
SHRM THEORIES

- Strategic HRM refers to HR that is co-ordinated and consistent with the overall business objectives in order to improve business performance. According to Purcell (1999), SHRM focuses on actions that differentiate the business from its competitors.

- For any resource to be a source of competitive advantage it must be rare, valuable, inimitable and non-substitutable; the HR practices of the organisation can lead to competitive advantage through developing a unique and valuable human capital pool. Within this theory we can distinguish three possible approaches:
- High-performance management. This refers to the development of a number of interrelated HRM processes that together improve organisational performance (Stevens, 1998).
- High-commitment management. This refers to the development of mutual commitment within the organisation, based on high levels of trust, that eventually influence performance (Wood, 1996).
- High-involvement management. This refers to the treating of employees as partners in the organisation through communication and involvement, ensuring that high performance will ultimately be achieved (Pil and MacDuffie, 1996).

Model of the HRM AND FIRM PERFORMANCE

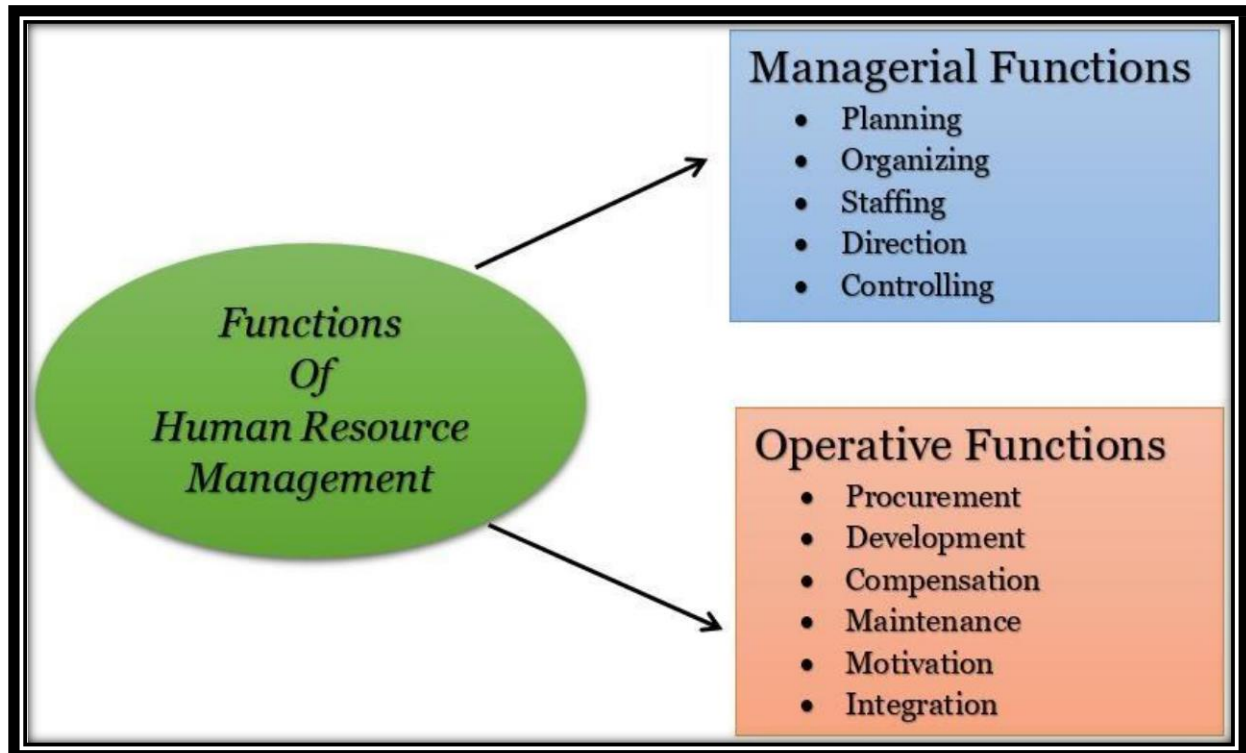
FIGURE 2.2 The general causal model of the HRM—performance relationship



- There is a direct linkage from HR practices to business performance, which is also called the unmediated HRM effect. This suggests that HR practices have a direct influence on business performance. The indirect linkage through HRM outcomes, which is also called the mediated HRM effect, indicates that HR practices influence HRM outcomes, which in turn influence business performance.
- It is not necessary for both direct and indirect linkages to be present at the same time. It is possible that a mediated effect may exist in the absence of an unmediated effect. In cases where both direct and indirect linkages are present, the intervening process is called partial mediation. In cases where only the indirect linkage is present, the intervening process is called full mediation. The final link in the diagram is labelled as **reverse causality**.

- The argument for this is that high-performing firms can afford HR practices (Huselid, 1995). Thus the performance outcome makes available to the organisation the ability to implement costly HR interventions. Few studies have investigated the strength of forward versus reverse causality. However, Katou (2012a) found that in small firms reverse causality from operational performance to HR practices is stronger than forward causality from HR practices to operational performance through employee attitudes and behaviour.

FUNCTIONS OF HRM



Some of the major functions of human resource management are as follows:

1. Managerial Functions
2. Operative Functions
3. Advisory Functions.

Human Resource or Personnel Department is established in most of the organisations, under the charge of an executive known as Human Resource/Personnel Manager. This department plays an important role in the efficient management of human resources.

The personnel department gives assistance and provides service to all other departments on personnel matters. Though personnel or human resource manager is a

staff officer in relation to other departments of the enterprise, he has a line authority to get orders executed within his department.

(i) Managerial,

(ii) Operative and

(iii) Advisory functions.

1) MANAGERIAL FUNCTIONS:

The Human Resource Manager is a part of the organizational management. So he must perform the basic managerial functions of planning, organizing, directing and controlling in relation to his department.

There functions are briefly discussed below:

1. Planning:

To get things done through the subordinates, a manager must plan ahead. Planning is necessary to determine the goals of the organisation and lay down policies and procedures to reach the goals. For a human resource manager, planning means the determination of personnel programs that will contribute to the goals of the enterprise, i.e., anticipating vacancies, planning job requirements, job descriptions and determination of the sources of recruitment.

The process of personnel planning involves three essential steps.

Firstly, a supply and demand forecast for each job category is made. This step requires knowledge to both labor market conditions and the strategic posture and goals of the organisation.

Secondly, net shortage and excess of personnel by job category are projected for a specific time horizon.

Finally, plans are developed to eliminate the forecast shortages and excess of particular categories of human resources.

2. Organizing:

Once the human resource manager has established objectives and developed plans and programs to reach them, he must design and develop organisation structure to carry out the various operations.

The organisation structure basically includes the following:

- (i) Grouping of personnel activity logically into functions or positions;
- (ii) Assignment of different functions to different individuals;
- (iii) Delegation of authority according to the tasks assigned and responsibilities involved;
- (iv) Co-ordination of activities of different individuals.

3. Directing:

The plans are to be put into effect by people. But how smoothly the plans are implemented depends on the motivation of people. The direction function of the personnel manager involves encouraging people to work willingly and effectively for the goals of the enterprise.

In other words, the direction function is meant to guide and motivate the people to accomplish the personnel programs. The personnel manager can motivate the employees in an organisation through career planning, salary administration, ensuring employee morale, developing cordial relationships and provision of safety requirements and welfare of employees.

The motivational function poses a great challenge for any manager. The personnel manager must have the ability to identify the needs of employees and the means and methods of satisfy those needs. Motivation is a continuous process as new needs and expectations emerge among employees when old ones are satisfied.

4. Controlling:

Controlling is concerned with the regulation of activities in accordance with the plans, which in turn have been formulated on the basis of the objectives of the organisation. Thus, controlling completes the cycle and leads back to planning. It involves the observation and comparison of results with the standards and correction of deviations that may occur.

Controlling helps the personnel manager to evaluate the control the performance of the personnel department in terms of various operative functions. It involves performance appraisal, critical examination of personnel records and statistics and personnel audit.

2) OPERATIVE FUNCTIONS:

The operative functions are those tasks or duties which are specifically entrusted to the human resource or personnel department. These are concerned with employment, development, compensation, integration and maintenance of personnel of the organisation.

The operative functions of human resource or personnel department are discussed below:

1. Employment:

The first operative function of the human resource of personnel department is the employment of proper kind and number of persons necessary to achieve the objectives of the organisation. This involves recruitment, selection, placement, etc. of the personnel.

Before these processes are performed, it is better to determine the manpower requirements both in terms of number and quality of the personnel. Recruitment and selection cover the sources of supply of labor and the devices designed to select the right type of people for various jobs. Induction and placement of personnel for their better performance also come under the employment or procurement function.

2. Development:

Training and development of personnel is a follow up of the employment function. It is a duty of management to train each employee properly to develop technical skills for the job for which he has been employed and also to develop him for the higher jobs in the organisation. Proper development of personnel is necessary to increase their skills in doing their jobs and in satisfying their growth need.

For this purpose, the personnel departments will device appropriate training programs. There are several on- the-job and off-the-job methods available for training purposes. A good training program should include a mixture of both types of methods. It is important to point out that personnel department arranges for training not only of new employees but also of old employees to update their knowledge in the use of latest techniques.

3. Compensation:

This function is concerned with the determination of adequate and equitable remuneration of the employees in the organisation of their contribution to the organisational goals. The personnel can be compensated both in terms of monetary as well as non-monetary rewards.

Factors which must be borne in mind while fixing the remuneration of personnel are their basic needs, requirements of jobs, legal provisions regarding minimum wages, capacity of the organisation to pay, wage level afforded by competitors etc. For fixing the wage levels, the personnel department can make use of certain techniques like job evaluation and performance appraisal.

4. Maintenance (Working Conditions and Welfare):

Merely appointment and training of people is not sufficient; they must be provided with good working conditions so that they may like their work and workplace and maintain their efficiency. Working conditions certainly influence the motivation and morale of the employees.

These include measures taken for health, safety, and comfort of the workforce. The personnel department also provides for various welfare services which relate to the physical and social well-being of the employees. These may include provision of cafeteria, rest rooms, counseling, group insurance, education for children of employees, recreational facilities, etc.

5. Motivation:

Employees work in the organisation for the satisfaction of their needs. In many of the cases, it is found that they do not contribute towards the organisational goals as much as they can. This happens because employees are not adequately motivated. The human resource manager helps the various departmental managers to design a system of financial and non-financial rewards to motivate the employees.

6. Personnel Records:

The human resource or personnel department maintains the records of the employees working in the enterprise. It keeps full records of their training, achievements, transfer, promotion, etc. It also preserves many other records relating to the behavior of personnel like absenteeism and labor turnover and the personnel programs and policies of the organisation.

7. Industrial Relations:

These days, the responsibility of maintaining good industrial relations is mainly discharged by the human resource manager. The human resource manager can help in collective bargaining, joint consultation and settlement of disputes, if the need arises. This is because of the fact that he is in possession of full information relating to personnel and has the working knowledge of various labor enactments.

The human resource manager can do a great deal in maintaining industrial peace in the organisation as he is deeply associated with various committees on discipline, labour welfare, safety, grievance, etc. He helps in laying down the grievance procedure to redress the grievances of the employees. He also gives authentic information to the trade union leaders and conveys their views on various labor problems to the top management.

8. Separation:

Since the first function of human resource management is to procure the employees, it is logical that the last should be the separation and return of that person to society. Most people do not die on the job. The organisation is responsible for meeting certain requirements of due process in separation, as well as assuring that the returned person is in as good shape as possible. The personnel manager has to ensure the release of retirement benefits to the retiring personnel in time.

3) ADVISORY FUNCTIONS:

Human resource manager has specialized education and training in managing human resources. He is an expert in his area and so can give advice on matters relating to human resources of the organisation.

He offers his advice to:

1. Advised to Top Management:

Personnel manager advises the top management in formulation and evaluation of personnel programs, policies and procedures. He also gives advice for achieving and maintaining good human relations and high employee morale.

2. Advised to Departmental Heads:

Personnel manager offers advice to the heads of various departments on matters such as manpower planning, job analysis and design, recruitment and selection, placement, training, performance appraisal, etc.

NATURE OF HRM:



Human resource management brings people together in an organisation. To make sure both individual and organisation goals are fulfilled! The following features characterise the nature of human resource management:-

Managerial Process

Human resource management is a vital part of management that includes planning, organising, staffing, directing, and controlling human resources to achieve organisational success. It is a managerial process that effectively utilises human resources to attain organisational goals and objectives.

Both Art and Science

Human resource management is a mixture of both art and science. It is an art as it deals with qualitative attributes like creativity, knowledge, skills, and [talent of the personnel](#). In simple words, HRM is the art of getting things done by others effectively. HRM is a science as it requires different scientific techniques for activities like recruitment, selection, training, and appraisal of employees.

Pervasive Force

Human resource management, being an inherent part of an organisation, is pervasive in nature. It means that HRM is present in different functional areas of management, like finance, marketing, and production, in all commercial and non-commercial enterprises. Everyone in the organisation, from the top to the lowest level, must perform HRM functions regularly.

Improve Employee Relations

“In order to build a rewarding employee experience, you need to understand what matters most to your people.” – Julie Bevacqua.

Human resource management is concerned with building healthy relationships between employees at various organisational levels. Every individual has different needs, goals, and expectations. HRM deals with these individual factors and motivates employees to reach their maximum potential. Moreover, it creates an organisational culture that fosters learning and growth.

People-Centred

The nature of human resource management is people-centred and relevant in all types of organisations. It is concerned with every employee from the top to the bottom level. HRM value people both as individuals and as a group. Furthermore, it encourages people to develop their full potential and fulfil individual and organisational goals.

Development-Oriented

The development of the workforce in an organisation is crucial to the nature of human resource management. HR managers use various tools to help employees understand their strengths and unleash their potential. Regular training programs can benefit employees by improving their skills. Also, monetary and non-monetary reinforcement can help people stay motivated to perform better.

Action Oriented

While human resource management does follow the rules and policies, its main focus is on action and results rather than rules. A human resource manager stresses the importance of providing effective solutions for employee problems, tensions, or controversies.

Forward-Looking

Sustaining in the competitive business environment requires organisations to plan long-term strategies. HRM is a future-oriented approach that evaluates the human resource requirements and ensures the availability of required personnel in the right place at the right time. With the forward-looking nature of human resource management, managers prepare employees by motivation, training, and development to face current and future challenges in the changing business environment.

Continuous Process

Human resource management is not a 'one-time' function. Rather, it is a never-ending process that must be performed continuously to achieve organisational objectives effectively. It involves a series of tasks, beginning with identifying the human resource requirement and continuing with recruitment, training, performance evaluation, and appraisal.

Basis of Other Functional Areas

HRM is the basis of all other functional areas of management, such as finance, production, and marketing. The effectiveness of each of these departments depends on the effectiveness of their human resource management.

Interdisciplinary Function

Human resource management is multidisciplinary in nature. HR managers utilise knowledge and inputs from various disciplines to manage the workforce effectively. The five major disciplines in HRM include management, communication, psychology, sociology, and economics. In order to effectively manage human resources, one must understand the contribution of all these disciplines to HRM.

PRINCIPLES OF HRM

Human Resource Management (HRM) involves the strategic approach to managing an organization's workforce to achieve its goals and objectives effectively. There are several principles that guide the practice of HRM:

1. **Human Resources as Valuable Assets:** Employees are considered the most valuable assets of an organization. HRM recognizes the importance of attracting, developing, and retaining talented individuals to enhance organizational performance and competitiveness.
2. **Equal Employment Opportunity (EEO):** HRM emphasizes providing equal opportunities to all individuals regardless of their race, gender, age, religion, disability, or other protected characteristics. This principle ensures fairness and compliance with laws and regulations.
3. **Job Analysis and Design:** HRM involves the systematic process of job analysis to understand the roles and responsibilities of each position within the organization. Based on this analysis, HR professionals design job descriptions and specifications.
4. **Recruitment and Selection:** HRM aims to attract and hire the most suitable candidates for various job roles. The recruitment process involves sourcing candidates, screening applicants, conducting interviews, and making selections.
5. **Employee Training and Development:** HRM recognizes the importance of continuous learning and development to enhance employees' skills, knowledge, and abilities. Training programs and development opportunities are provided to employees to improve their performance and career growth.
6. **Performance Management:** HRM implements performance management systems to set clear performance expectations, provide feedback, and evaluate employees' performance. This process helps identify areas for improvement and recognize high performers.
7. **Employee Motivation and Compensation:** HRM aims to motivate employees by providing fair and competitive compensation, rewards, and recognition programs. A well-designed compensation system aligns with the organization's goals and helps retain talented employees.
8. **Employee Relations:** HRM emphasizes fostering positive relationships between employees and management. It involves addressing grievances, resolving conflicts, and promoting a healthy work environment.
9. **Health and Safety:** HRM prioritizes the well-being of employees by ensuring a safe and healthy work environment. Compliance with health and safety regulations is essential to protect employees' physical and mental health.
10. **Ethical and Legal Compliance:** HRM adheres to ethical standards and ensures compliance with employment laws and regulations. This includes handling sensitive employee data, maintaining confidentiality, and avoiding discrimination.
11. **Diversity and Inclusion:** HRM promotes diversity and inclusion within the workplace to create a culture that values different perspectives, backgrounds, and experiences.

12. **Change Management:** HRM plays a critical role in managing organizational change effectively. It involves supporting employees through transitions, communicating changes, and helping them adapt to new situations.

These principles guide HR professionals in their daily operations to ensure that the organization's human resources are effectively managed and aligned with the overall strategic goals.



- **Fulfil the Human Resource Requirement:** Human resource management fills in the gap between the vacancies in the organisation and the suitable candidates for such positions.
- **Employee Retention:** HRM not only functions to acquire the manpower but also concentrates on the maintenance and retention of the human capital.
- **Enhance the Quality of Work Life:** It focusses on the continuous enhancement of the job facilities, hence improving the quality of employee's work life.
- **Redressing Grievance and Conflict:** HRM addresses the problems among employees or with the management since it is essential for any organisation to resolve its internal conflicts and grievances to ensure a sound and co-operative work environment.
- **Achieving Organizational Goals:** To reach the set objectives and targets on time, it is necessary to direct the employee's efforts towards the organisational goals. All this is possible only through the practice of human resource management.
- **Long-term Existence in the Market:** As we all know that employees are the inevitable part of any organisation, therefore to survive in the competition, it is imperative that the organisation brings HRM into functioning.
- **Developing Team Spirit and Feeling of Belongingness:** It brings together the different employees as a team to accomplish the goals of the organisation. HRM also makes the

employees feel valuable to the organisation.

- **Employee Satisfaction and Welfare:** HRM works for the welfare, safety and security of the organisation. It is majorly concerned about the level of satisfaction derived by an employee from his job.

IMPORTANT QUESTIONS:

- 1) What do you mean by HRM? 3m
- 2) State the difference between PM and HRM? 7m
- 3) What is Job Analysis and Job Evaluation? 3m
- 4) Explain the scope and objectives of HRM? 7m
- 5) Explain the Different models of HRM? 10m
- 6) Elaborate evolution of HRM? 7m
- 7) Describe the factors influencing HRM? 7m
- 8) Explain the functions, skills and challenges of Line Manager? 10m
- 9) Explain the competence of HR? 7m
- 10) Explain the opportunities and challenges of HRM? 10M
- 11) Briefly explain Fombrun, Tichy & Devanna / Michigan Business School/Matching.model of HRM? 7m
- 12) Briefly explain “The Harvard Model” of HRM? 7m
- 13) Briefly explain “Guest Model” of HRM? 7m
- 14) Briefly explain The Warwick Model of HRM? 7m
- 15) Briefly explain “Storey Model” of HRM? 7m
- 16) Explain functions of HRM? 10m
- 17) Explain HRM & Firm Performance? 7m
- 18) Enumerate the nature, objectives & scope of HRM? 10m
- 19) Discuss the principles of HRM. 7m